

Organization and Organizational Structure

Why is organization?

Health service organizations

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Health service organizations are *entities*—such as hospitals, clinics, and public health agencies—that *deliver healthcare services* to individuals and communities

These entities *have their own organizational structure* with *in which the delivery of health services is made* available to the population

These organizations, therefore, *need to be more adaptable to the ever-changing environment.*

What is organizing?

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Organizing is the *process of arranging and allocating work, authority and resources* among organization members to achieve goals.

It involves establishing:

- *authority & responsibility* relationships;
- *division of work*
- *coordination*

Organizing

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- Organizing creates a *mechanism to put plans into action*.
- This is done through *assigning the tasks developed during planning to individuals/groups* within the organization.

Organizing

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The **purpose of organizing** is:

- To make *the best use of the organization's resources* to achieve organizational goals.
- To *make the organization a stable place* for employees

Steps of organizing

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- 1) *Reviewing plans* and goals
- 2) *Determining work activities* necessary to accomplish objectives
- 3) Classifying and *grouping activities into manageable units*
- 4) **Assign activities** and delegate authority.
- 5) Design a *hierarchy of relationships*

Concept of Organization

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In broader terms, the concept of an organization includes:

- A *cooperative and coordinated social system* of two or more people with a common purpose.
- A *pattern of relationship* through which people pursue to achieve common goals.
- Can be groups of people, *with ideas and resources, working toward common goals.*

Characteristics of organizations

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All organizations have four characteristics:

- 1) *Coordination* of effort
- 2) *Common goal* or purpose
- 3) *Division of labor*, and
- 4) *Hierarchy* of authority

Classification of organizations

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Organization are *created to pursue particular purposes*, they can be **classified based on that**:

- **Business organization**
- **Nonprofit service organization**
- **Mutual- benefit organization**
- **Commonweal organization**

Business organization

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- A **business organization** is a formal entity established to produce and sell goods or services *to generate profit*
- Example: Ethiopian Airline, Ethiopian Post, have one underlying purpose to make a profit in a socially acceptable manner.
- Businesses cannot survive without earning a profit and profits are earned by efficiently satisfying demand for products and service

Nonprofit service organization

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- Many organization survive and even grow **without making any profit** at all.
- They *measure their success not in dollar but by how well they provide a specific service for some segment of society.*
- Example: Associations, Universities, Hospitals
- The service of such organization are usually in great demand
- One of the biggest problem lies in screening large number of applicants to determine who qualifies for service
- Second securing a reliable stream of funds through fees

Mutual benefit organization

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- A mutual-benefit organization is an organization that is primarily focused on serving and benefiting *its own members*.
- Example: Credit organization , Individuals join together strictly to pursue their own interest
- This organization survival depends on satisfying members' needs

Commonweal organization

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- A commonweal organization is an organization that is primarily focused on ***serving the broader public or the community.***
- Like nonprofit service organization commonweal organization offer public services without attempting to earn a profit.
- But unlike nonprofit service organizations, which serve some segment of society, a Commonweal organization ***offers standardized service to all members of a given population.***
- Example: Police and Fire department

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- Based on the classification of organizations by purpose, under which category would you place public health facilities such as government hospitals, public clinics, and health centers?

Commonweal Organizations

Because public health facilities are created to serve the general public or society as a whole, rather than specific individuals, members, or clients.

Types of organizations

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Based on their establishment and structure, organizations can be classified as:

- 1) Formal organizations
- 2) Informal organizations

Formal organizations

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- Formal organizations have a *clearly defined structure, hierarchy, and policies*.
- Formal structure of the organizations are *built by top management*.
- Its **policies**, procedures, and goals are **clearly stated**.

Informal organizations

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- Informal organizations *lack the clearly defined structure* and hierarchy of formal organizations.
- They *emerge naturally based on personal relationships*, shared interests, or common goals.
- *Roles, responsibilities*, and decision-making processes are *not officially defined*.

Organizational design

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- Organizational design refers to the *overall approach, process, and framework for **how an organization is constructed***.
- It involves making ***strategic choices about the organization's goals***, values, culture, and the various ***elements that shape its functionality***.
- Organizational design is a ***more holistic and strategic process*** that defines the high-level blueprint for the organization.

- Organizational structure refers to the ***specific arrangement and relationships*** between the ***different parts or components*** of an organization.
- The way, in which an ***organization's activities are divided, organized*** and ***coordinated***.

Organization charts

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Organizational chart is a *diagram of an organization's official position and formal lines of authority*.

Is a *visual display* of an organization's *structural skeleton*.

An organization chart:

- displays the *organizational structure and shows lines of authority*, and relationships between departments.
- ❖ Is helpful for *managers for deploying human resource*.

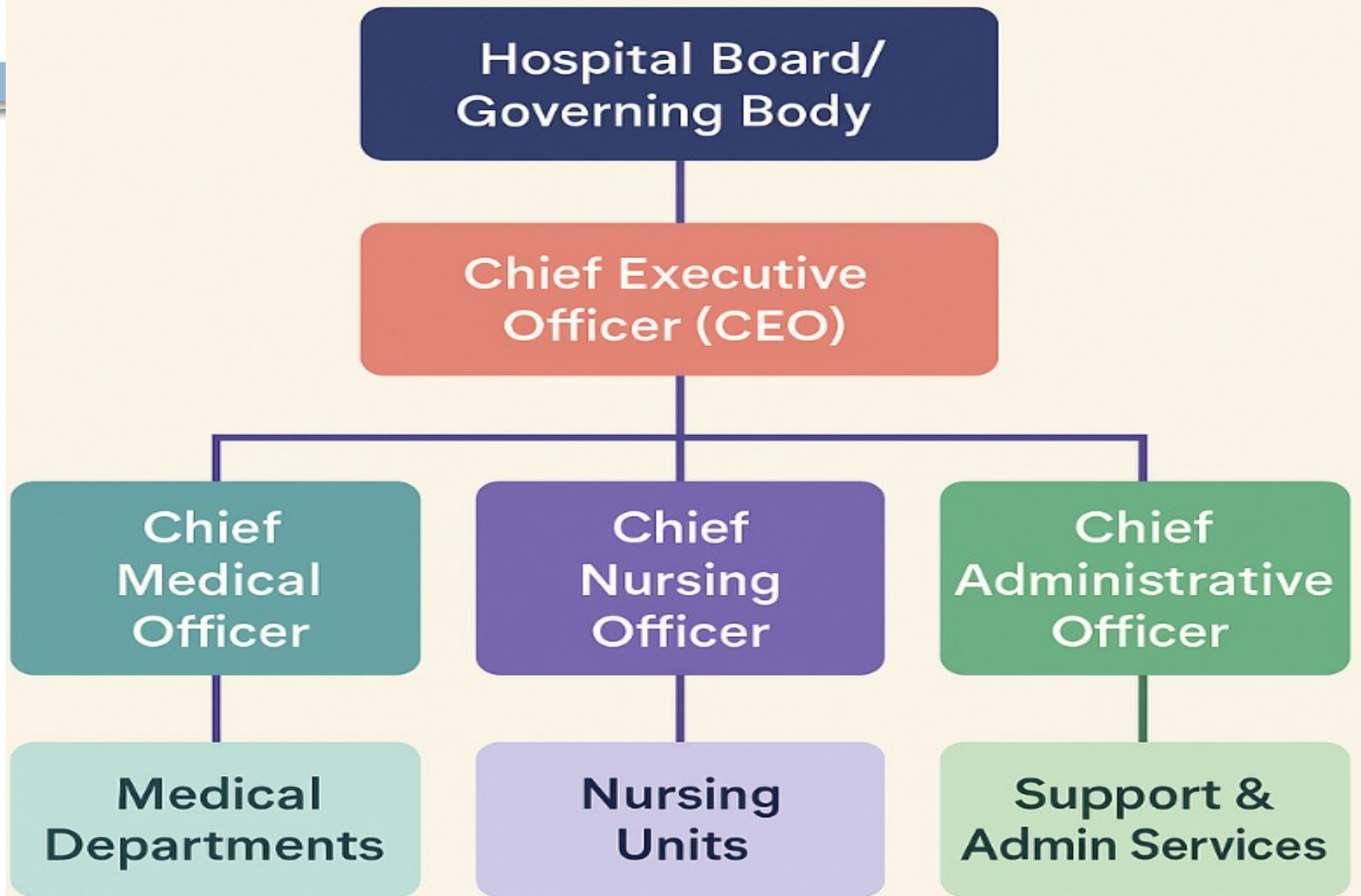
Dimensions of organization charts

Dimensions of Organization charts are:

- **Vertical hierarchy**: the chain of command. who reports to whom
- **Horizontal specialization** :the division of labor

Organization charts - Example

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Approaches and theories of organization

The **two broad approaches** or **paradigms** for understanding **how organizations are structured** and how they function are:

- 1) the **traditional view**, and
- 2) the **modern view** of organizations

Traditional view of organization

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Traditionalists such as Taylor, and Weber

- ❖ Subscribed to *closed-system thinking*
- ❖ *Ignored the impact of environmental forces*
- ❖ proposed tightly *controlled authoritarian organizations*

Max Weber, applied the concept of **bureaucracy** to organizational systems as his **model for the most rational and efficient type of organization.**

Modern view of organization

Modern organization theorists tend to prefer

- **Open-system thinking** because it realistically incorporates organizations' environmental dependency.
- Believe to be useful in explaining the **necessity of creating flexible and adaptable organizations** rather than rigid.

Traditional vs Modern views

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	Traditional View	Modern View
General Perspective	Close system thinking	Open system thinking
Primary goal of organization	Economic efficiency	Survival in an environment of uncertainty and surprise
Assumption about surrounding environment	Predictable	Generally uncertain
Assumption about organization	Goal directed variables are known and controllable. Uncertainty can be eliminated through planning and controlling	The organization system has more variables than can be comprehended at one time. It is difficult to control uncertainty through one time planning

Organizational structures

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There are two types of organizational structures:

- 1) Mechanistic structure and*
- 2) Organic structure*

Mechanistic structure

The mechanistic structures are:

- Is the *traditional or classical design*, common in medium- and large-size organizations.
- *Are rigid* in that they consist of very clearly delineated jobs,
- Have a *well-defined hierarchical structure*, and
- Rely heavily on the *formal chain of command* for control.
- Mechanistic structures *run similarly to bureaucracies* in which an established chain of command manages business operations.

Bureaucratic organizations

With their emphasis on formalization, are the primary form of mechanistic structures as they are driven by a *top-down or command and control approach* in which **managers:**

- Provide considerable *direction* and
- Have considerable *control over others*

Bureaucratic organizations

According to Max Weber, **bureaucracy** is a form of organization **characterized** by :

- ❖ Rational, *goal-directed hierarchy*
- ❖ *Impersonal decision* making
- ❖ *Formal controls*

The mechanistic organizations

- Mechanistic organizations *have tall structures consisting* of hierarchies with *many levels of management*.
- *People* become relatively *confined to their own area of specialization* (functional division of labour)

The mechanistic organizations

Advantages:

- Ready *access to your immediate superior*, but your superior can exercise tighter control.
- *Easy communication* with individuals, but too many levels can distort messages.

Disadvantage:

- People near the bottom of the structure have *little influence* on decisions.

Organic structure

Organic structure is characterized by:

- *Informality* and open communication
- More *flexible*
- *More adaptable* to a participative form of management, and

The organic organization is open to the environment in order to *capitalize upon new opportunities*.

The organic organizations

- The organic organizations have *a flat structure with only one or two levels of management* or hierarchy
- Emphasize *a decentralized approach to management* that encourage *high employee involvement in decisions*

The organic organizations

The **purpose of flat structure** is to create independent businesses that can *rapidly respond to customers' needs* or *changes in the business environment*.

The organic organizations

Type of relationship that is expected among the **manager and employees:**

- The manager has a more *personal relationship with employees*.
- Referred *participative-democratic*
- Management and employees *interact in a friendly environment*
- Characterized by *mutual confidence and trust*.

Mechanistic vs Organic organizations

Which one is a preferable approach →
Mechanistic or Organic organization? why?

Mechanistic vs Organic organizations

Mechanistic organizations are best suited to:

- Repetitive operations and
- Stable environments

Organic organizations are best suited to an:

- Uncertain task and
- A changing environment

Mechanistic vs Organic organizations

Characteristics of organizational design:

1) under mechanistic structure is:

- Ridged
- Vertical

2) Under organic structure is:

- Flexible
- Horizontal

Mechanistic vs Organic organizations

The *strategic goals* of the organization will *affect* the *best choice of structure*.

The strategic goals can be:

- Innovation, flexibility and differentiation are better supported by *organic structure*
- Efficiency, stability and cost control are better supported by a tight *mechanistic structure*

Thank you!